FIXED INCOME RESEARCH

October 12 – 16, 2026

US Bond Market Weekly Update

10yr Treasury	2yr Treasury	IG OAS	HY OAS
5.10%	**4.77%**	**84 bps**	**323 bps**
▼ 14 bps MTD	▼ 1 bps MTD	▼ 2 bps MTD	▼ 1 bps MTD

WORD ON THE DESK

The week ending October 16, 2026 was defined by a collision of forces rarely seen simultaneously in fixed income markets: multi-decade Treasury yield highs, a hotter-than-expected inflation print, a tech-driven equity rout that briefly revived safe-haven demand, and escalating geopolitical and fiscal risks on both sides of the Atlantic. Against this volatile backdrop, credit markets showed resilience — tightening modestly month-to-date even as rates churned — while the Fed's posture shifted toward studied restraint. For institutional portfolios, the episode underscores the fragility of the current rate equilibrium: duration remains a two-sided risk, spread cushions are thin relative to historical norms at these yield levels, and the path of least resistance for long-end rates may still be higher absent a meaningful fiscal anchor. We continue to watch the October 27–28 FOMC meeting, global sovereign auction dynamics, and the trajectory of energy prices as key near-term signposts.

MARKET COMMENTARY

01 U.S. inflation data released Wednesday, October 14 came in hotter than expected, reinforcing market pricing for an additional Fed rate hike before year-end and sustaining upward pressure on Treasury yields throughout the week. The stronger print complicated the Fed's communication calculus heading into the October 27–28 FOMC meeting, keeping terminal rate uncertainty elevated. [DATA: all yield levels as of 2026-10-15]

→ The inflation surprise compounded fiscal and debt sustainability concerns already amplified by the IMF's warning on October 13 that government bond yields could spike in a 'disorderly' fashion as debt and inflation risks worsen — a scenario that would mark down collateral values across the financial system.

→ Hotter inflation paired with rising oil prices from Middle East tensions created a dual supply-shock narrative that bond markets struggled to price cleanly, contributing to intra-week volatility.

02 Treasury yields surged to their highest levels since 2002 mid-week before a partial retreat driven by strong auction demand — a dynamic that captured the market's tension between bearish structural forces and pockets of real-money buying. The 10-year yield closed at 5.10% [DATA: as of 2026-10-15], down from the intra-week multi-decade highs but still 14 basis points below the month-start level of 5.24%. The 2-year yield settled at 4.77% [DATA: as of 2026-10-15], essentially flat month-to-date from 4.78%, while the 30-year finished at 5.43% [DATA: as of 2026-10-15] versus a month-start of 5.61%, representing a meaningful 18 basis point rally from October's opening levels. The 2s10s spread sits at +33 basis points and 2s30s at +66 basis points, reflecting a modestly steeper curve compared to the flat-to-inverted profiles seen over the prior year when the 10-year yielded 3.99% and 30-year 4.58%.

→ Strong auction demand at this week's long-end offerings suggests that at current yield levels some duration buyers — likely including foreign central banks and pension accounts — view 5%+ Treasuries as strategically attractive, providing a partial technical backstop to further near-term sell-offs.

→ The 5-year yield at 4.91% [DATA: as of 2026-10-15] versus a month-start of 5.01% signals that the belly of the curve has also rallied, with the 5s30s spread at just 52 basis points reflecting continued demand for intermediate maturities relative to the

ultra-long end.

03 Fed Chair Jerome Powell, speaking at the IMF's annual meeting on October 16, refrained from providing any forward guidance on the economy or monetary policy — a notably restrained posture that markets interpreted as dovish at the margin. His silence effectively reduced the implied probability of a rate hike at the October 27–28 FOMC meeting to 13%, down from 27% prior to his remarks. Powell's approach stands as a deliberate signal: with inflation still elevated and data evolving rapidly, the Committee is preserving optionality rather than pre-committing.

→ The drop in hike probability from 27% to 13% following Powell's non-committal remarks illustrates the outsized sensitivity of near-term pricing to Fed communication at this stage of the cycle — a dynamic that argues for close monitoring of any Fed speak in the days ahead of the October 27–28 meeting.

→ No other Fed officials appeared in this week's data payload; Powell's stance should be read as individual and deliberate, not as a consensus signal from the broader Committee.

04 Investment-grade corporate credit demonstrated notable resilience this week, with the Bloomberg IG OAS tightening to 84 basis points [DATA: as of 2026-10-15] — 2 basis points tighter month-to-date — even as Treasury volatility spiked to multi-year highs. MTD total returns for IG corporates reached 1.15% [DATA: as of 2026-10-15], a strong performance reflecting the combined benefit of carry at elevated all-in yields and the modest spread compression. Supply technicals remain a key watch item: robust primary market issuance earlier in the month has been well-absorbed, suggesting corporate treasurers are strategically locking in funding ahead of potential further rate moves.

→ At 84 basis points OAS, IG spreads remain historically tight relative to the current rate and macro uncertainty regime — a disconnect that warrants careful attention to credit selection and sector rotation, particularly in rate-sensitive and leveraged balance sheet names.

→ All-in IG yields well above 5% in most maturities are attracting insurance, pension, and foreign demand, providing a technical buffer to spread widening even in a risk-off scenario.

05 High-yield credit similarly held firm, with HY OAS at 323 basis points [DATA: as of 2026-10-15], tightening 1 basis point month-to-date and generating a positive MTD total return of 0.36% [DATA: as of 2026-10-15]. The resilience of HY spreads in the face of a tech-driven equity rout wiping approximately $1 trillion from chip stocks — and amid elevated macro uncertainty — reflects continued investor appetite for carry in an income-driven market environment. Risk appetite in HY has been supported by relatively low near-term default expectations and robust corporate earnings revisions.

→ The modest 0.36% MTD total return in HY versus 1.15% in IG reflects HY's shorter effective duration limiting price appreciation from the rate rally, while the spread cushion at 323 bps provides meaningful income but limited room for further compression at this stage of the credit cycle.

→ Investors should monitor the energy and materials sectors within HY closely, given oil price volatility linked to Middle East tensions — an upward price move supports HY energy names in the near term, but demand destruction risk from persistently high inflation could pressure fundamentals in 2027.

06 Agency MBS and securitized credit data are not available in this week's payload; however, the macro context is instructive. With 10-year yields surging intra-week to multi-decade highs before retreating, prepayment speeds in agency MBS remain suppressed — a positive for extension-sensitive holders — but negative convexity concerns are elevated. The combination of high rates and housing market illiquidity continues to weigh on new origination volumes, while spread levels for agency MBS have likely tracked the broader risk-on/risk-off dynamics of the week.

→ Strong Treasury auction demand seen this week may have crowded out some MBS buying at the margin, as relative value shifted toward outright Treasuries for duration-seeking accounts at current yield levels.

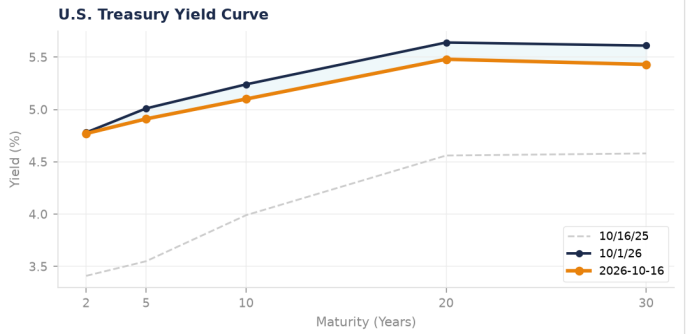
→ Non-agency and ABS sectors face headline risk from the tech equity rout and any spillover to consumer credit metrics, though near-term fundamentals remain supported by low unemployment.

07 Geopolitical and global fiscal risks materially shaped bond market dynamics this week on multiple fronts. European bonds sold off sharply, led by French government bonds amid renewed fiscal sustainability concerns, while Middle East tensions drove oil prices higher — adding an inflationary impulse that pressured developed market yields globally. The IMF's October 13 warning of a potential 'disorderly' spike in government bond yields served as a systemic risk flag, highlighting the vulnerability of sovereign bonds used as financial collateral if yield moves become self-reinforcing. The late-week tech rout — erasing approximately $1 trillion in chip stock market cap on October 15 — triggered a flight-to-safety bid in U.S. Treasuries that temporarily overrode the upward yield pressure from hot inflation data, illustrating the complexity and speed of cross-asset feedback loops in the current environment.

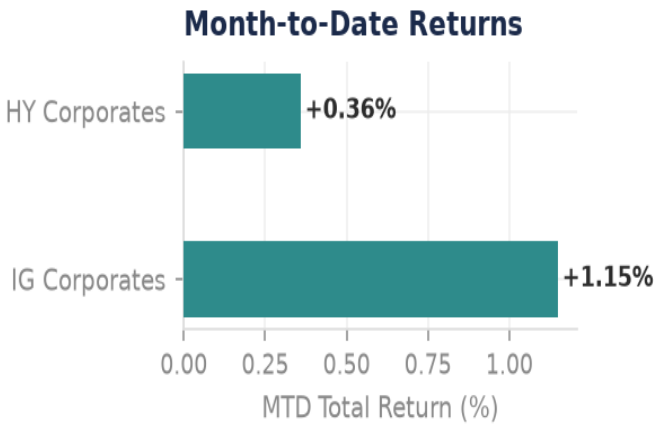
→ France's fiscal concerns add a European sovereign risk dimension absent for much of 2025–2026; a wider OAT-Bund spread would further complicate ECB policy and global fixed income risk appetite, with potential contagion to periphery spreads.

→ The tech rout's flight-to-safety impact on Treasuries on October 15 underscores that even in a structurally bearish rate environment, equities remain an important marginal driver of near-term Treasury demand — a dynamic portfolio managers should factor into cross-asset hedging frameworks.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.77	4.91	5.10	5.48	5.43
MTD (bps)	-1	-10	-14	-16	-18



Sector	OAS (bps)	MTD Chg
IG Corporate	84	-2
HY Corporate	323	-1

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.77%	2026-10-15	FRED:DGS2
5yr Treasury	4.91%	2026-10-15	FRED:DGS5
10yr Treasury	5.10%	2026-10-15	FRED:DGS10
20yr Treasury	5.48%	2026-10-15	FRED:DGS20
30yr Treasury	5.43%	2026-10-15	FRED:DGS30

IG OAS	84.0 bps	2026-10-15	FRED:BAMLC0A0CM
HY OAS	323.0 bps	2026-10-15	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	+1.15%	2026-10-15	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	+0.36%	2026-10-15	FRED:BAMLHYH0A0HYM2TRIV